

Ultra Sound Money

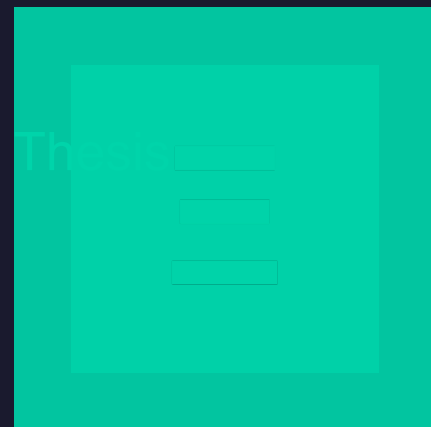
Ethereum's Post-Merge Supply Dynamics & Monetary Thesis

Current Supply: 121,603,980 ETH

ETH Price: \$2,243 USD

Base Gas: 0.1 Gwei (historic low)

For crypto-native investors & Ethereum ecosystem
participants



ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-Day Supply Change

+19,445.89

Net ETH Added

+0.83%

Annualized Growth

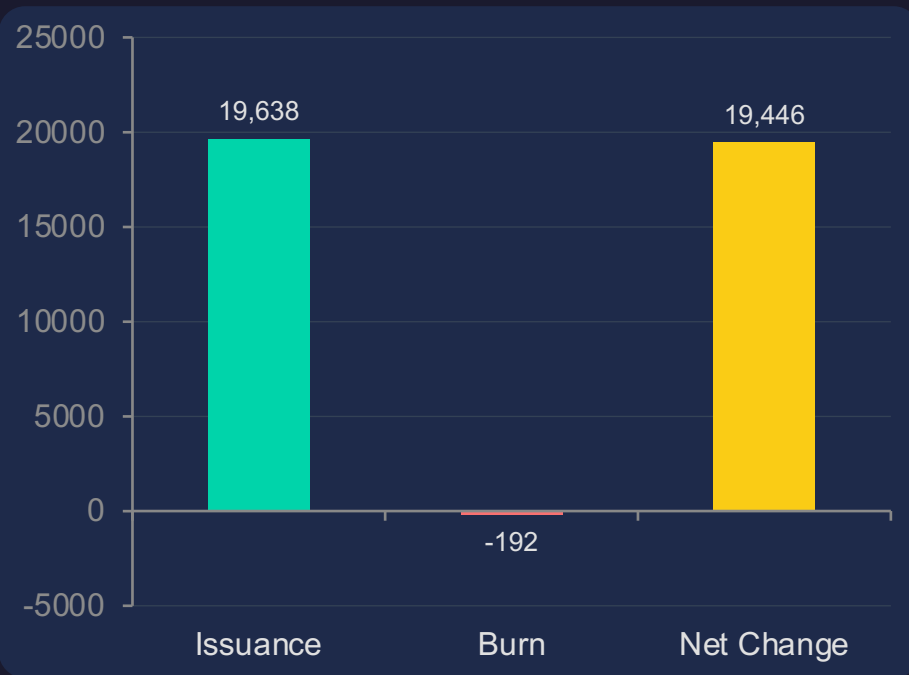
0.01x

Issuance Offset Ratio

121.6M

Total Supply (ETH)

Insight: Burns currently offset only ~1% of new issuance. At 0.1 Gwei average gas, the network is in a temporary inflationary regime — far from the deflationary dynamics seen during high-activity periods.



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 Burn Mechanism

- Base fees are burned, permanently removing ETH from circulation.
- Tips and MEV go to validators — not burned.
- Low gas = low burn = supply inflation.
- Equilibrium requires ~22 Gwei sustained average.

Current Gas Market (7-Day)



0.1 Gwei (current)

22 Gwei (equilibrium)

Min: 0.0 Gwei | Max: 1.3 Gwei | Avg: 0.1 Gwei

Blob Gas (EIP-4844)

Introduced for L2 data availability. Despite high blob gas volume, fee burns are negligible at current prices.

Avg Blob Gas: ~7.1M wei

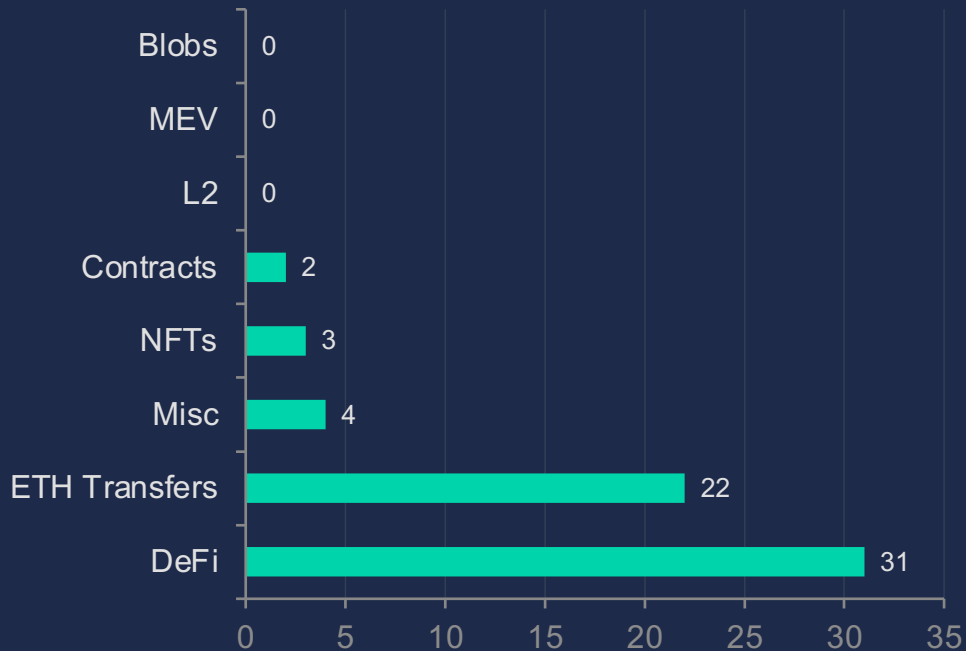
7-Day Blob Fee Burn: 0.15 ETH (\$319)

Blob fees are not yet a material burn driver.

The Bottom Line

Current gas prices are ~220x below the 22 Gwei equilibrium assumption. This is a demand-side problem, not a protocol flaw. When on-chain activity recovers, the burn mechanism will reassert deflationary pressure. The protocol is working as designed — it simply needs more transactions.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Burn Leaderboard

Contract / Category	Burn (ETH)
ETH Transfers	21.74
Tether USDT	13.55
DeFi (aggregate)	31.00
NFTs	3.00
Contract Creations	2.00
L2 / MEV / Blobs	0.00

DeFi + ETH transfers = ~85% of all burns. But at 0.1 Gwei, even the leaderboard leaders burn negligible amounts. A single high-activity day during DeFi summer would dwarf the entire week's burn.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

38.9M

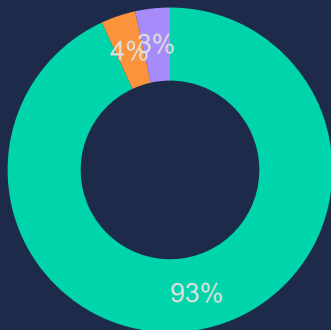
ETH Staked (~32% of supply)

9.1M

ETH Locked (avg)

Validator Rewards Breakdown

Reward Type	Amount	APR
Issuance	0.9 ETH/validator	2.7%
Tips	0.0 ETH	0.1%
MEV Estimate	0.0 ETH	0.1%
Total		~2.9%

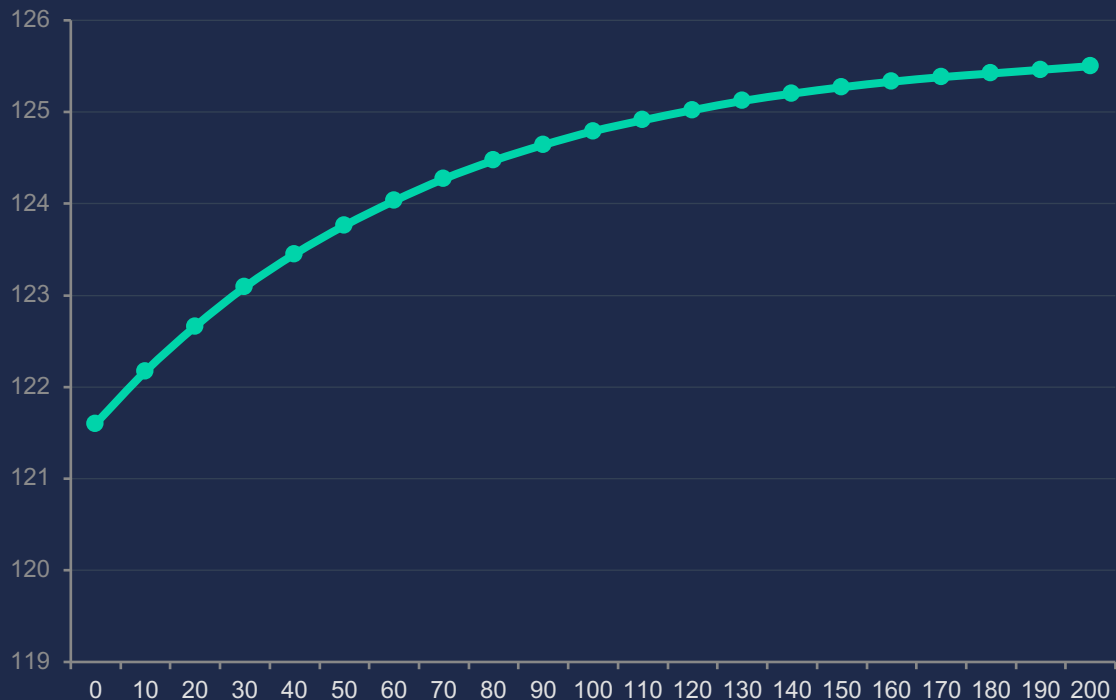


■ Issuance (2.7%) ■ Tips (0.1%) ■ MEV (0.1%)

The Scarcity Engine

With 38.9M ETH staked (~32% of supply) and 9.1M ETH locked for an average of 10.7 years, Ethereum has built a powerful supply sink. PoS issuance runs at ~2,800 ETH/day. Under normalized assumptions, fee burn would be ~2,200 ETH/day — but current actual burn is far lower at ~27 ETH/day. The staking yield is almost entirely issuance-driven; tips and MEV are negligible in the current low-activity environment.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Balance



Equilibrium Parameters

Target Supply: 125.7M ETH

Staked Assumption: 39M ETH

Gas Assumption: 22 Gwei avg

Balance: ~1,037K ETH/year

Staker Rewards: 2.7%/year

Historical Era Transitions

Genesis: 5 ETH/block

Byzantium: 3 ETH/block

Constantinople: 2 ETH/block

Phase 0: Staking begins

London: EIP-1559 burn intro

The Merge: PoW removal

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flippening Progress

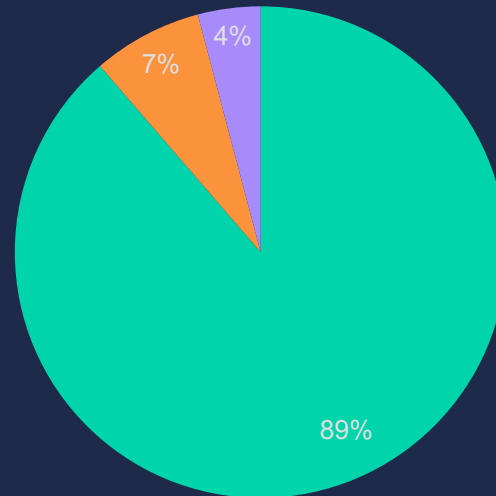
Asset	ETH Market Cap Ratio
Bitcoin	18.70%
USD	1.30%
Gold	0.89%

Top ERC20s by Value

Dai \$4.41B | SHIB \$3.51B | Cronos \$2.97B | Tether Gold \$2.65B

Top NFT Collections

CryptoPunks \$2.13B | BAYC \$0.68B | ENS \$0.63B | Pudgy Penguins \$0.51B



■ ETH (Native) ■ ERC20 Tokens ■ NFTs

6,000+ community members tracking these metrics on ultrasound.money

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

01 Mildly Inflationary Now

ETH is at +0.83%/year due to historic 0.1 Gwei gas lows. Burns offset only ~1% of issuance.

02 Burn Mechanism Works

The protocol is sound. Deflation requires sustained on-chain activity — a demand variable, not a design flaw.

03 Supply Lock Is Real

38.9M ETH staked (~32% of supply) with 9.1M locked for 10.7 years avg. Creates powerful scarcity engine.

04 Equilibrium Is Structurally Sound

Long-term projection converges to 125.7M ETH at 22 Gwei equilibrium. Issuance and burn balance at ~1,037K ETH/year.

05 Monetary Premium Growing

ETH at 18.7% of BTC market cap. \$307.6B+ in TVS secured. Early but demonstrable store-of-value trajectory.